

Dollarama Inc. (TSX: DOL)

INITIATING COVERAGE

Consumer Products / Value Retail | Canada | Report date: June 11, 2026

Roopal - Equity Research (independent analysis)

RATING	TARGET PRICE	LAST CLOSE	IMPLIED RETURN	MARKET CAP
MARKET PERFORM	C\$153	C\$179.57	-14.6%	C\$48.6B

Last close June 10, 2026. Financials per Company Q4/FY2026 release (year ended Feb 1, 2026) and SEDAR+ filings. Forward figures are the author's own estimates.

INVESTMENT THESIS

We are starting coverage of **Dollarama (DOL)** at **Market Perform** with a **C\$153 target**. Our view is not a knock on the business. Dollarama runs the most profitable retail format in Canada, earns roughly 45% gross and 27% operating margins, and keeps opening 60 to 80 net new stores a year with very little competition that can match its scale. The problem is the price. At about 38x trailing and 35x forward earnings, the stock already pays Dollarama full credit for that track record, and we think the risk/reward is tilted modestly to the downside from here.

That is also why we land below the C\$198 Street consensus. We can get to roughly C\$132 on a discounted cash flow basis at an 8.0% cost of capital, and even applying a 32x forward multiple, which is in line with where Dollarama has historically traded, only gets us to about C\$165. Blending the two leaves us at C\$153. We would rather wait for a pullback into the high-C\$130s or low-C\$140s, where the same quality is available with an actual margin of safety, than chase the stock at these levels.

What would change our mind: a faster-than-expected swing to profitability in Australia and Mexico, or evidence that Dollarcity can scale its store base materially beyond current targets, would force us to revisit both our growth assumptions and the multiple we are willing to pay.

Where the business stands today

- **Core Canada is still compounding.** FY2026 sales grew 13.1% to C\$7.26B, gross margin held at 45.0%, and the Canadian network reached 1,691 stores, with management targeting roughly 2,200 by 2034. Few domestic competitors can build at that pace at this price point.
- **International is the call option.** Dollarcity (about 50.1% owned, equity-accounted) passed 700 stores and is aiming for 1,050 by 2034. The newer Australian segment added 402 stores and C\$454.8M of sales in FY2026. Both are real growth, but Mexico and Australia are still losing money during the build-out, so we treat them as upside rather than base-case earnings.
- **It behaves defensively.** A beta near 0.4 and steady double-digit EPS growth (diluted EPS rose 13.7% to C\$4.73 in FY2026) make DOL a name investors hide in. The flip side is that defensiveness is exactly what is keeping the multiple elevated.

FINANCIAL SUMMARY

C\$ millions except per-share data. FY ends late-Jan / early-Feb. Source: Company filings (actuals); author estimates (E).

Fiscal year	FY2024A	FY2025A	FY2026A	FY2027E
Sales	5,867	6,413	7,256	7,872
YoY growth	16.1%	9.3%	13.1%	8.5%
Gross margin	44.5%	45.1%	45.0%	~45%
Operating income	1,496	1,711	1,938	2,102
Operating margin	25.5%	26.7%	26.7%	26.7%
EBITDA	1,861	2,122	2,408	~2,565
Net earnings	1,010	1,169	1,309	~1,420
Diluted EPS (C\$)	3.56	4.16	4.73	5.16

VALUATION

Our C\$153 target is 35% DCF and 65% peer multiple. We lean on multiples here on purpose. For a low-beta name where most of the value sits in the terminal year, a DCF swings wildly with small changes in the discount rate and long-term growth, so we treat it as a sanity check rather than the anchor.

Valuation bridge (author estimates).

Method	Value/share	Weight
DCF (8.0% WACC, 3.0% g)	C\$132	35%
Comps (32x FY27E EPS)	C\$165	65%
Blended target	C\$153	100%

COMPARABLE COMPANIES

NTM P/E (author estimates / public consensus).

Company	NTM P/E
Dollar Tree (DLTR)	18.0x
Dollar General (DG)	19.0x
Loblaw (L)	22.0x
Walmart (WMT)	33.0x
Costco (COST)	48.0x
Peer median	22.0x
Dollarama (current)	34.8x

Dollarama earns a premium to the global discounters on margins and returns, and we are comfortable paying up for that. At 35x, though, it sits well above the peer median, which is the heart of our caution.

DCF SENSITIVITY - VALUE PER SHARE (C\$)

Rows = WACC; columns = terminal growth. Base case (bold): 8.0% / 3.0% → C\$132.

WACC \ g	2.0%	2.5%	3.0%	3.5%	4.0%
7.0%	137	150	167	189	218
7.5%	123	134	148	164	186
8.0%	112	121	132	145	161
8.5%	103	110	119	129	142
9.0%	95	101	108	117	127

The spread across this table is the reason we do not hang the target on the DCF alone. A half-point move in the discount rate is worth more than C\$15 a share.

KEY RISKS

To the upside

- Australia and Dollarcity scale faster than we assume, pulling forward consolidated EPS growth.
- A softer consumer backdrop drives more trade-down traffic into the format.
- The premium multiple simply persists, as it has for years.

To the downside

- The multiple compresses toward peers as Canadian growth matures.
- Supply-chain and FX cost pressure squeezes the gross margin.
- Mexico and Australia stay in the red longer than planned.
- Walmart, Amazon, and Temu chip away at the value-price advantage.

CATALYSTS TO WATCH

- Quarterly Canadian same-store-sales prints against FY2027 guidance of +3% to 4%.
- The point at which the international segments stop losing money (Dollarcity dividends, Australia and Mexico breakeven).
- Capital returns, including buybacks and the dividend, which was raised to C\$0.4232 per share declared in FY2026.

Disclosure and methodology. This is an independent research note prepared by Roopal Gahlain for educational and portfolio purposes. It is not investment advice and should not be relied on for any investment decision. Historical financials come from Dollarama Inc.'s publicly reported Q4 and full-year results (fiscal years ended January 28, 2024, February 2, 2025, and February 1, 2026) and SEDAR+ filings. The last closing price (C\$179.57, June 10, 2026), shares outstanding, and consensus target reflect publicly reported quotes. All forward-looking estimates, the 8.0% WACC, the 3.0% terminal growth rate, and the target multiples are the author's own assumptions, are clearly labelled, and have not been verified against any third-party model. The full valuation model is reproducible via the accompanying Python file (dol_valuation_model.py).